

Item (unit) costs of purchased and manufactured items

Part 6 · Show me the money — solution report with data, method, results and charts

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1. Item (unit) costs of purchased and manufactured items

Purchased: $v = \text{price} + \text{transport} + \text{duties} + \text{insurance}$

Manufactured: $v =$

$\text{DM} + \text{DL} + \text{OH}$

\$735.00

Compressor (purchased)

\$370.00

Washer housing (made)

19.4 %

Avg landed-cost uplift over price

\$46.30

Drum bearing (purchased)

\$258.00

Door assembly (made)

\$483.00

Inverter PCB (purchased)

\$107.00

Wire harness (made)

What one unit of inventory is worth (v)

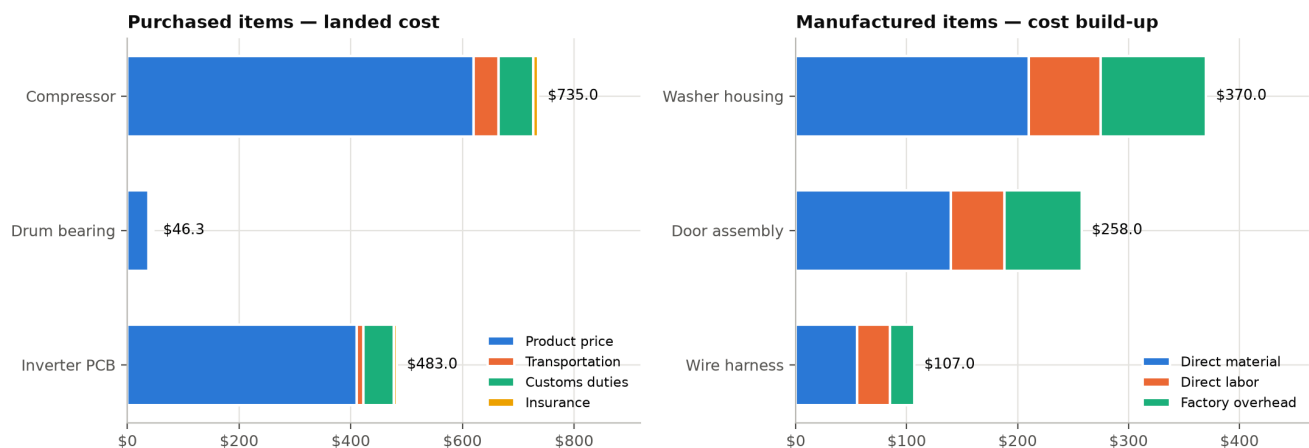


Figure 1.1 — Unit cost components. The unit value v is the basis of the holding cost $h = r \cdot v$.

Item cost build-up (\$ per unit).

item	type	product price	transportation	customs duties	insurance	direct material	direct labor	factory overhead	unit item cost
Compressor	Purchased	620.00	45.00	62.00	8.00	0.00	0.00	0.00	735.00
Drum bearing	Purchased	38.00	3.50	4.20	0.60	0.00	0.00	0.00	46.30
Inverter PCB	Purchased	410.00	12.00	55.00	6.00	0.00	0.00	0.00	483.00
Washer housing	Manufactured	0.00	0.00	0.00	0.00	210.00	65.00	95.00	370.00
Door assembly	Manufactured	0.00	0.00	0.00	0.00	140.00	48.00	70.00	258.00
Wire harness	Manufactured	0.00	0.00	0.00	0.00	55.00	30.00	22.00	107.00